# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# KYRGYZSTAN

Eurasia

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Bishkek | Capital and main commercial centre; seat of government, the banking sector and the High Technology Park | Financial services, IT, trade, construction |
| Bishkek Free Economic Zone and other free economic zones | Special regimes offering 0% profit tax for residents for up to 10 years, tax-regime stability and duty-free import of equipment | Light manufacturing, assembly, export-oriented processing |
| Jalal-Abad (south-west) | Starting point and hub of the Kyrgyz section of the $4.7 billion China–Kyrgyzstan–Uzbekistan railway, where construction began in December 2024 | Rail logistics, construction materials, agro-processing |
| Naryn River cascade (Kambarata-1) | Site of the 1,860 MW Kambarata-1 hydropower project, developed jointly with Kazakhstan and Uzbekistan with World Bank support and expected to generate around 6,000 GWh a year | Hydropower, energy infrastructure, engineering services |
| Issyk-Kul region | Home to the Kumtor gold mine, the country's largest mining asset, and to the Issyk-Kul lake tourism economy | Gold mining, mining services, tourism and hospitality |
| Osh | Southern commercial capital and trading gateway to the Fergana Valley and Uzbekistan | Trade, agriculture and food processing, logistics |
| Batken region | Designated a preferential territory for industry under Cabinet Resolution No. 571 of September 2024 | Manufacturing, industrial processing, cross-border trade |

### INVESTOR ENTRY ROUTES

- National Investment Agency under the President of the Kyrgyz Republic, acting as a single window for investors from initial consultation and permits to site selection and aftercare
- Law "On Investments in the Kyrgyz Republic" (signed August 2025), guaranteeing protection of investor rights and allowing investors committing at least $10 million to sign individual agreements with the Cabinet of Ministers covering tax and customs benefits, visa support and land allocation
- Free economic zones, led by the Bishkek FEZ, offering 0% profit tax for up to 10 years, tax-regime stability and duty-free import of equipment for qualifying projects
- High Technology Park, an open-ended special tax regime for IT companies with a preferential profit-tax rate, VAT exemption on exports and a simplified visa regime

- National Bank of the Kyrgyz Republic oversight of the som and payments system; in May 2026 the bank lifted earlier restrictions on settlements for transit trade, while banks apply enhanced compliance checks on cross-border flows
- Sector incentives for renewable energy (0% tax for five years, guaranteed tariff and duty-free imports), agriculture and tourism, with subsoil licences for mining issued on a project basis
- Participation in landmark infrastructure through state companies, including Kyrgyz Temir Zholu (railways) and the Ministry of Energy as implementing agency for Kambarata-1

### MARKET-ENTRY OBSERVATION

Kyrgyzstan in October 2026 is one of the fastest-growing economies in Eurasia. GDP expanded 10.8% in January–September 2026, following 11.1% growth in 2025 and an average of 10.2% over the past four years, with construction output up more than 1.6 times, industry up 7% and agriculture up 6.5%. Fixed capital investment rose 18.4% to around $4.3 billion in 2025, foreign direct investment reached $950 million, and foreign and mutual trade grew 13.3% to $12 billion in the first eight months of 2026. A new Law on Investments signed in August 2025 strengthens investor protections and allows large investors to conclude individual agreements with the government, while Fitch affirmed the sovereign at 'B' with a stable outlook in April 2026, citing strong growth, a moderate budget deficit and relatively low public debt of around 40% of GDP. The World Bank expects growth of 9.6% in 2026, and the National Bank is holding its policy rate at 12% to bring inflation, running at 11.7% in August 2026, back toward its 5–7% target.

Kyrgyzstan's main structural challenge is its close economic link with Russia, through remittances of about $3.5 billion in 2025, transit trade and payments, which has brought Western sanctions scrutiny. The US, UK, EU and Canada have sanctioned several Kyrgyz banks and crypto-payment entities over alleged Russia sanctions circumvention, and in 2026 the EU used its anti-circumvention tool against Kyrgyzstan for the first time, restricting exports of CNC machine tools and certain radio equipment. The government has responded with dialogue and practical action: a roadmap for lifting restrictions pursued in Washington, London and Brussels, tighter foreign-trade monitoring, the liquidation of dozens of entities flagged for sanctions risk and active client reviews by commercial banks, while the National Bank reports that the banking sector remains stable and adequately capitalised. At the same time the economy is diversifying: gold exports have shifted toward Switzerland, the China–Kyrgyzstan–Uzbekistan railway and Kambarata-1 are opening new trade and energy channels, and Chinese, Gulf and European investors are increasingly active. For compliant investors, this combination of rapid growth, a strengthening compliance framework and new infrastructure is a distinctive opportunity.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Western sanctions on Kyrgyz banks and payment entities | The US, UK, EU and Canada have sanctioned several Kyrgyz banks (including Keremet Bank and Capital Bank of Central Asia) and crypto entities linked to the A7A5 stablecoin; EU transactions with designated banks are prohibited | Take sanctions counsel, screen all banks and counterparties against current US, UK and EU lists, and bank with institutions holding strong Western correspondent relationships |
| EU anti-circumvention and export restrictions | Since April 2026 EU exports of CNC machine tools and certain radio equipment to Kyrgyzstan are banned, and the 21st package (July 2026) tightened restrictions on several Kyrgyz companies | Map supply chains for dual-use and high-priority goods, obtain end-use assurances and keep projects in sectors outside the restricted lists |
| Dependence on Russia for remittances and trade | Remittances of about $3.5 billion in 2025, almost all from CIS countries, support household demand, and Russia accounts for about two-thirds of trade within the EAEU | Diversification toward China, Uzbekistan, the Gulf and Europe is under way; investors serving domestic demand can plan for moderate swings in consumer spending |
| Inflation and monetary tightening | Annual inflation reached 11.7% in August 2026, driven by fuel and food prices, and the policy rate is being held at 12% | Price long-term contracts with indexation and use foreign-currency or DFI financing where local borrowing costs are high |
| Landlocked, mountainous geography | Distance from sea ports and difficult terrain raise logistics costs | The China–Kyrgyzstan–Uzbekistan railway, targeted for completion by end-2030, will create a direct Kashgar–Andijan |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| | | link and new logistics and industrial opportunities along the route |
| Governance and regulatory predictability | Frequent legislative change and the role of the state in strategic sectors such as gold mining call for careful structuring | Use individual investment agreements under the 2025 Law on Investments, take local legal advice and use the National Investment Agency's single window |
| Small economy and external buffers | With GDP of about $22.8 billion in 2025, the economy is small, and reserves move with gold prices (around $7.9 billion at end-June 2026) | Reserves remain 21.7% higher year on year and public debt is moderate; investors can scale projects to regional markets through the EAEU and Central Asian trade links |

### INVESTOR RISK NOTE

Kyrgyzstan combines exceptional growth momentum, with GDP rising more than 10% a year since 2022, with a business environment that rewards careful compliance planning. The most important legal reality for investors is Western sanctions exposure: several Kyrgyz banks and crypto-payment entities are designated by the US, UK, EU and Canada for alleged Russia sanctions circumvention, EU persons may not transact with designated banks, and the EU now restricts exports of certain machine tools and radio equipment to the country. These measures are targeted rather than country-wide, and lawful investment in sectors such as energy, mining, infrastructure, agriculture, tourism and IT remains open; investors should take sanctions counsel, screen banks and counterparties, and document end use for any sensitive goods. The government's roadmap for engaging Western partners, its tighter trade monitoring and the liquidation of entities flagged for sanctions risk point to a strengthening compliance environment. Inflation of 11.7% and reserves that move with gold prices warrant standard hedging, while a stable 'B' Fitch rating, public debt of around 40% of GDP and World Bank-supported projects such as Kambarata-1 provide a solid base for long-term investment.

### MARKET ACCESS

Kyrgyzstan is a member of the Eurasian Economic Union (EAEU), providing tariff-free access to Russia, Kazakhstan, Belarus and Armenia, and has been a member of the WTO since 1998, the first CIS country to join. Its exports have diversified markedly: in 2025 Switzerland took 16.9% of exports and the United Kingdom 9%, mainly gold, followed by China, the UAE and Turkey, while Russia and Kazakhstan account for almost all trade within the EAEU. Foreign and mutual trade rose 13.3% to $12 billion in the first eight months of 2026. Connectivity is set to improve substantially through the China–Kyrgyzstan–Uzbekistan railway, a 532 km line from Kashgar through Jalal-Abad to Andijan owned 51% by China and 24.5% each by Kyrgyzstan and Uzbekistan, which will form part of a southern Eurasian land bridge toward Turkey and Europe. Exporters to the EU should factor in the 2026 EU export restrictions on specified goods.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the President (Sadyr Japarov) | Sets the overall economic and foreign-policy direction, including flagship infrastructure and the response to Western sanctions | Primary reference point for Kyrgyzstan's strategic priorities |
| Cabinet of Ministers (Chairman Adylbek Kasymaliev) | Signs individual investment agreements under the 2025 Law on Investments and leads the sanctions-engagement roadmap with the US, UK and EU | Key counterpart for large projects and for understanding compliance reforms |
| National Investment Agency under the President | National single window for foreign investors, from consultation and permits to site selection and aftercare | Standard first point of contact for market entry and incentive guidance |
| National Bank of the Kyrgyz Republic | Monetary authority and banking supervisor; sets the policy rate and | Relevant for currency, banking and payments matters |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| | oversees bank compliance | |
| Ministry of Energy | Implementing agency for Kambarata-1 and lead body for power-sector reform and renewables | Essential partner for hydropower, solar and grid investment |
| Kyrgyz Temir Zholu (national railway company) | Kyrgyz partner in the China–Kyrgyzstan–Uzbekistan railway and operator of the national rail network | Key counterpart for logistics, construction and supply-chain opportunities along the new corridor |
| Kumtor Gold Company / Kyrgyzaltyn | State-controlled gold producers at the core of the mining sector, with Kumtor's 2025 revenue exceeding 124 billion soms | Relevant for mining services, equipment and processing partnerships |
| Ministry of Economy and Commerce | Shapes trade, investment and tax policy and coordinates the foreign-trade monitoring introduced in 2026 | Relevant for regulatory dialogue and trade-compliance matters |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in the Kyrgyz Republic and the International Business Council are the principal forums for foreign investors, alongside the Chamber of Commerce and Industry of the Kyrgyz Republic for domestic business liaison. The National Investment Agency organises investor meetings and maintains a pipeline of projects across energy, industry, logistics, digital technologies, tourism and agriculture. The World Bank, EBRD, European Investment Bank and Asian Development Bank are active development partners, with the World Bank, EBRD and EIB central to the financing of Kambarata-1, and DFI co-financing provides both capital and strong governance and compliance standards. Regional platforms with Kazakhstan, Uzbekistan and China, including the joint railway and Kambarata-1 project structures, offer further channels into cross-border opportunities.

## INVESTOR PROFILE BEST SUITED

Kyrgyzstan best suits investors with a strong compliance culture and a long-term view of Central Asian connectivity: infrastructure and engineering firms targeting the China–Kyrgyzstan–Uzbekistan railway and Kambarata-1; renewable-energy developers drawn by guaranteed tariffs and tax holidays; mining-services and equipment providers working with the gold sector; tourism and hospitality investors, building on foreign investment in the sector that rose almost eightfold to $87.8 million in 2025; and IT companies using the High Technology Park regime. DFI co-investment is a natural fit for larger projects, and all investors should build sanctions screening and payment-chain due diligence into their entry plans.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and payments due diligence before entry
Take specialist counsel on US, UK, EU and Canadian measures, screen banks, partners and supply chains, and confirm that goods and payment routes fall outside restricted lists.

STEP 2: Engage the National Investment Agency and assess individual agreements
Use the agency's single window to identify incentives and, for projects of $10 million or more, explore an individual investment agreement with the Cabinet of Ministers under the 2025 Law on Investments.

STEP 3: Position for flagship infrastructure and energy projects
Follow procurement and supply opportunities on the China–Kyrgyzstan–Uzbekistan railway and Kambarata-1, including through DFI-financed tenders.

STEP 4: Select the right special regime
Compare free economic zone, High Technology Park, Batken preferential-territory and sector incentives against the project's export and tax profile.

STEP 5: Build inflation and currency planning into project economics
Plan for inflation above the National Bank's target and a 12% policy rate, using indexation, hedging and DFI or foreign-currency financing where appropriate.